

FEDERAL MARITIME COMMISSION

USL AUTO EXPORTING INC.,

COMPLAINANT,

v.

Docket No. 23-13

EASY SHIPPING CORPORATION,

RESPONDENT.

**COMPLAINANT'S ANSWERS TO THE COMMISSION'S ORDER FOR
SUPPLEMENTAL INFORMATION**

Pursuant to the Order for Supplemental Information issued by Administrative Law Judge Mary A. Hervey on December 12, 2024, Complainant hereby submits the following answers, supported by additional exhibits as required.

In Section I, Complainant provides answers to the questions directed to both Complainant and Respondent. In Section II, Complainant addresses the questions directed solely to Complainant.

This submission is provided in compliance with the Commission's directives and aims to address all supplemental inquiries clearly and comprehensively.

DATED: January 3, 2025

Respectfully submitted,
USL AUTO EXPORTING INC.,
ANIS HOUSSEIN
Vice President for COMPLAINANT

**MEMORANDUM OF COMPLAINANT'S RESPONSES TO SUPPLEMENTAL
INFORMATION REQUEST**

I. Answers to Supplemental Information Order: Questions Directed to Complainant and Respondent

Pursuant to the Order for Supplemental Information issued by Administrative Law Judge Mary A. Hervey on December 12, 2024, Complainant hereby submits the following answers to the 17 questions, supported by additional exhibits as required.

1. During the time period at issue, did Easy Shipping Company serve as a non-vessel operating common carrier (“NVOCC”), freight forwarder, or both? Set forth the factual basis in support of your assertion.

Answer to Question 1: Yes, Easy Shipping Corporation served as both a non-vessel operating common carrier (“NVOCC”) and a freight forwarder. As evidenced in (Ex. A, CX_27), Respondent issued the bill of lading, and at clause number 7 on the bill of lading, Respondent explicitly declared themselves to be the Forwarder agent.

2. Identify all entities that served as a non-vessel operating common carrier or freight forwarder with respect to the shipment at issue. Set forth the factual basis in support of your assertion.

Answer to Question 2: Only Easy Shipping Corporation was a freight forwarder (Exhibit A, CX_27) and (Ex. A, CX_29) clearly shows that Respondent was a freight forwarder as when filed the Electronic Export Information, Respondent declared that they were filing as a freight forwarder.

3. Set forth the material terms of the April 13, 2023, agreement between the parties related to the shipment of the cargo at issue in this proceeding. Provide copies of all written agreements.

Answer to Question 3: the terms of the agreement are that the Respondent was to provide the booking and the customs declaration. Complainant was to load the vehicles and provide Respondent with the titles and descriptions of the vehicles that were loaded into the container.

Once the container reached the destination, Complainant was to pay the service fees for the booking and the release of the container (Ex. A, CX_10 to 30).

4. Identify with specificity each item of cargo that was loaded onto the container in Savannah, Georgia in April 2023. Include make, model, year, and vehicle or vessel VIN number.

Answer to Question 4: The following items of cargo were loaded onto the container in Savannah, Georgia, in April 2023, including their make, model, year, and VIN number:

- 2005 Toyota Tundra (VIN: 5TBKT42115S468135)

- 2011 Kia Sorento (VIN: 5XYKT4A17BG175020)
- 2012 Yamaha FX SHO (VIN: YAMA3067B212)
- 2006 Lexus GX 470 (VIN: JTJBT20XX60123772)

Respondent admitted the presence of these vehicles in their answer, as evidenced in (Ex. A, CX_27) and (Ex. A, CX_30). These exhibits provide documentation verifying the inclusion of the specified vehicles in the shipment.¹

5. Identify with specificity each item of cargo that was later returned to Savannah, Georgia. Include make, model, year, and vehicle or vessel VIN number.

Answer to Question 5: The container was returned as it was shipped.
 2005 Toyota Tundra (VIN: 5TBKT42115S468135): \$9,900.00
 2011 Kia Sorento (VIN: 5XYKT4A17BG175020): \$4,500.00
 2012 Yamaha FX SHO (VIN: YAMA3067B212): \$7,500.00
 2006 Lexus GX 470 (VIN: JTJBT20XX60123772): \$7,500.00

6. State what caused the cargo description in the container returned to Savannah, Georgia to differ from the cargo listed on the bill of lading attached as Exhibit F to the complaint. Provide copies of all documents that support your assertion.

Answer to Question 6: The Complainant has no control over the submission of the descriptions of the vehicles in CMA CGM's account. The Respondent is the only individual who had access to their account to submit the descriptions of the vehicles.

7. Identify who was responsible for the fact that the cargo in the container returned to Savannah, Georgia differed from the cargo listed on the container's bill of lading attached as Exhibit F to the complaint, and forth the material facts in support of your assertion.

Answer to Question 7: Respondent is responsible for the fact that the cargo in the container returned to Savannah, Georgia, differed from the cargo listed on the container's bill of lading attached as Exhibit F. The material facts in support of this assertion include Respondent's exclusive access to their CMA CGM account and the authority to submit or amend cargo descriptions.

8. State whether or not the container loaded in Savannah, Georgia in April 2023 contained items banned from import to Libya. If your answer is affirmative, identify all banned items.

Answer to Question 8: At the time of shipping in April 2023, Complainant had knowledge that, based on the information available, the only items banned from import to Libya were boats.

¹ - Because Respondent has admitted these vehicles were part of the shipment, there is no dispute regarding their inclusion in the container. See Fed. R. Civ. P. 8(b)(6) ("An allegation—other than one relating to the amount of damages—is admitted if a responsive pleading is required and the allegation is not denied."); see also *National Acceptance Co. of Am. v. Bathalter*, 705 F.2d 924, 932 (7th Cir. 1983) (addressing the implications of a defendant's failure to deny allegations in their answer and emphasizing that such omissions can lead to those allegations being deemed admitted under Rule 8(d)).

9. State the first date you became aware that the container loaded in Savannah, Georgia contained items banned from import to Libya and how you became aware. Provide copies of all documents that support your assertion.

Answer to Question 9: The first date the Complainant became aware that the container loaded in Savannah, Georgia, contained items banned from import to Libya was December 5, 2023. This awareness was based on information and documentation provided by the Respondent via an email sent on December 5, 2023, as referenced in (Ex. D, CX_82).

10. State whether Complainant and/or Respondent knew before loading that the container in Savannah, Georgia would contain cargo that was banned from import to Libya.

Answer to Question 10: Complainant had no prior knowledge that the vehicle was banned, as other competitors who shipped to Libya also shipped pickup trucks.

After the incident, Complainant conducted an investigation and inquired with other shippers about the ban. The investigation revealed that only CMA CGM enforces this ban policy, which is due to the route of its vessels passing through Malta. In contrast, other carriers, including MSC, Hapag Lloyd, and Maersk, do not impose this ban.

11. State whether or not personal watercraft/jet skis and Toyota Tundra trucks were banned from import to Libya at the time of the shipment at issue in this proceeding.

Answer to Question 11: Before this shipment, Complainant did not know about the ban because other shippers to Libya shipped watercraft/jet skis and Toyota Tundra trucks. Later, after the incident, Complainant found out that the ban was specific to Malta, which does not allow vessels using Malta in their route to ship watercraft/jet skis and Toyota Tundra trucks to Libya. In contrast, other carriers, including MSC, Hapag Lloyd, and Maersk, do not impose this ban because they use different routes.

12. State the reason why the container at issue in this proceeding was returned to Savannah, Georgia. Provide copies of all documents that support your assertion.

Answer to Question 12: The only official reason provided by CMA CGM for the return of the container was communicated via email to Respondent, stating that the return was due to the 2005 Toyota Tundra (Ex. K, CX_44).

Respondent alleged that the container was returned due to the 2012 Yamaha FX SHO, but Respondent did not provide any official email from CMA CGM to support this claim. While it is true that CMA CGM investigated the 2012 Yamaha FX SHO, the decision to return the container was not based on the 2012 Yamaha FX SHO but rather on the 2005 Toyota Tundra.

13. What is Ahmed Shipping? What is its role in connection with the shipment at issue?

Answer to Question 13: Ahmed is the owner and manager of Easy Shipping Corporation.

14. Who is Ahmed Sadek? What is his role in connection with the shipment at issue?

Answer to Question 14: Ahmed Sadek is the owner and manager of Easy Shipping Corporation.

15. Who is Mohamed Elboghdady? What is his role in connection with the shipment at issue?

Answer to Question 15: Mohamed Elboghdady is a manager at Easy Shipping Corporation.

16. Who provided the certificates of title attached as Exhibit E to Respondent's response, to whom were they provided, and for what purpose were they provided?

Answer to Question 16: Complainant provided the certificates of title attached. Complainant is obligated by the law of U.S. Customs and Border Protection to prove ownership of vehicles valued at more than \$1,500.00.

Respondent requires a copy of the title to report the vehicle's VIN and title number to U.S. Customs and Border Protection via Electronic Export Information.

Therefore, as part of the course of business, Complainant provided Respondent with a copy of the title to enable the reporting process. Afterward, Complainant would have the title validated by customs.

17. What was the ultimate disposition of the cargo at issue?

Answer to Question 17: After the filing of the case against Respondent, Respondent directed CMA CGM to remove Complainant from the chain of email communications. As a result, Complainant does not know the ultimate disposition of the cargo. Respondent provided an email evidencing the removal of Complainant from the communication chain, which is included in (Ex. A, CX_67).²

II. Answers to Supplemental Information Order: Questions Directed to Complainant
Pursuant to the Order for Supplemental Information issued by Administrative Law Judge Mary A. Hervey on December 12, 2024, Complainant hereby submits the following answers to the 22 questions, supported by additional exhibits as required.

1. State whether or not you allege a violation of the Shipping Act under 46 C.F.R. § 41104(a)(2)(A) in addition to 46 C.F.R. § 41104(a)(3) and 46 C.F.R. § 41102(c). If so, set forth the factual basis for your assertion.

² - Respondent cited this email in **Exhibit S** with their Answer. Complainant has also referenced Respondent's Answer and the exhibits in the renewed motion for summary judgment and accompanying brief to compile all relevant exhibits into a single document.

Answer to Question 1: Complainant asserts a claim under 46 C.F.R. § 41104(a)(2)(A) based on Respondent's failure to provide services in accordance with a published tariff or service contract. Respondent knowingly misrepresented the cargo description on the bill of lading, listing a Toyota Tundra as a 4Runner, despite receiving accurate information from Complainant in the load plan (Ex. A, CX_11) and titles (Ex. A, CX_23). This misrepresentation not only resulted in mis-declared cargo but also violated standard practices required under the Shipping Act, as the bill of lading serves as the governing document for cargo shipment (Ex. C, CX_78).

Additionally, Respondent failed to fully pay the return basic freight invoice (#NAOB0367804), underpaying by \$310.52, which directly resulted in the container not being released (Ex. K, CX_109). This failure to remit the full payment to CMA CGM demonstrates noncompliance with contractual obligations and led to unnecessary detention fees and additional costs (Ex. L, CX_112).

Notably, Respondent did not deny these allegations in their answer or any subsequent motions, further supporting Complainant's claims of noncompliance and breach of obligations.³

2. To the extent you assert a claim under 46 C.F.R. § 41104(a)(2)(A), set forth the material facts showing that Respondent provided services not in accordance with a published tariff or service contract. Provide copies of all documents that support your assertion.

Answer to Question 2: Complainant asserts a claim under 46 C.F.R. § 41104(a)(2)(A) based on Respondent's failure to provide services in accordance with a published tariff or service contract. Respondent knowingly misrepresented the cargo description on the bill of lading, listing a Toyota Tundra as a 4Runner (Ex. F, CX_89), despite receiving accurate information from Complainant through the load plan (Ex. A, CX_11) and vehicle title (Ex. A, CX_23). This misrepresentation led to the container's return and unnecessary complications (Ex. A, CX_44). These actions violated the principles of fair and reasonable practices mandated under the Shipping Act and deviated from Respondent's professional obligations as a Non-Vessel Operating Common Carrier (NVOCC) and freight forwarder.

In addition, Respondent underpaid the return basic freight invoice (#NAOB0367804) by \$310.52, which directly resulted in the container not being released and incurred further detention fees and costs (Ex. K, CX_109). Despite being notified of the outstanding amount, Respondent failed to fulfill their financial responsibility, delaying the resolution of the shipment. Complainant's efforts to mitigate the damages were further hindered by Respondent's inaction and failure to clear the container properly.

3. To the extent you assert a claim under 46 C.F.R. § 41104(a)(3), set forth the material facts showing that Respondent refused cargo space or engaged in unfair or unjust discrimination. Provide copies of all documents that support your assertion.

³ - A party's failure to deny specific allegations in their pleadings can be construed as an admission of those allegations. This principle is reflected in Federal Rule of Civil Procedure 8(b)(6), which states: "An allegation—other than one relating to the amount of damages—is admitted if a responsive pleading is required and the allegation is not denied." Fed. R. Civ. P. 8(b)(6).

Answer to Question 3: Respondent engaged in discriminatory practices by underpaying the return basic freight invoice (#NAOB0367804) by \$310.52, delaying the release of the container. Respondent's actions demonstrate an intent to exploit what they perceived as Complainant's lack of knowledge of U.S. laws and the assumption that Complainant, being foreign, would accept such treatment as an unavoidable act of God and not seek justice. This behavior reflects a deliberate disregard for Complainant's rights and an abuse of their position as a service provider.⁴ Supporting documents include (Ex. K, CX_109), which demonstrates the underpayment and its impact on the container's release.

4. Set forth all material facts you rely on to support a finding that Respondent engaged in an unreasonable practice on a normal, customary, and continuous basis concerning the shipment at issue. Provide copies of all documents that support your assertion.

Answer to Question 4: Complainant asserts that Respondent engaged in unreasonable practices on a normal, customary, and continuous basis concerning the shipment at issue:

- A. Misrepresentation of Cargo Description: Respondent misrepresented the cargo description on the bill of lading, listing the Toyota Tundra as a 4Runner, despite receiving accurate information from Complainant in the dock receipt and vehicle title. This misrepresentation, a recurring issue in Respondent's operational conduct, directly resulted in the container's return and associated costs. This practice demonstrates a failure to establish and enforce reasonable practices in handling cargo descriptions, as required under the Shipping Act. Supporting documentation includes (Ex. A, CX_27) and (Ex. F, CX_89), which highlight the accurate dock receipt and discrepancies in the shipping documents.
- B. Underpayment of Freight Charges: Respondent underpaid the return basic freight invoice (#NAOB0367804) by \$310.52, delaying the release of the container and causing unnecessary detention fees. This repeated failure to properly manage financial obligations demonstrates a lack of diligence and a systemic issue in Respondent's operational practices. Supporting documentation includes (Ex. K, CX_109), detailing the underpayment and its consequences.
- C. Exploitation of Complainant's Status: Respondent engaged in discriminatory practices, assuming that Complainant, as a foreign party, lacked knowledge of U.S. laws and would accept such treatment without pursuing justice. This deliberate exploitation reflects an

⁴ - In *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, the Commission found that the respondent had engaged in knowing and willful violations of the Shipping Act by refusing to deal with the complainant and retaliating against them, in violation of 46 U.S.C. § 41104(a)(3). This case underscores the FMC's commitment to addressing discriminatory practices and ensuring fair treatment in shipping transactions. See *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Docket No. 1967(I), Initial Decision (Dec. 15, 2020).

Additionally, the FMC has emphasized the prohibition on retaliation against shippers, ocean transportation intermediaries, and motor carriers, as outlined in 46 U.S.C. § 41102(d). The Commission thoroughly investigates allegations of discriminatory practices to ensure compliance with the Shipping Act. See, Federal Maritime Commission, Prohibition on Retaliation Against Shippers, Ocean Transportation Intermediaries, and Motor Carriers, FMC Public Notice (July 2021), <https://www.fmc.gov/articles/prohibition-on-retaliation-against-shippers-ocean-transportation-intermediaries-and-motor-carriers>

unreasonable and unjust pattern of behavior. Supporting documentation includes (Ex. K, CX_109), which outlines the financial and logistical impacts on the shipment.

These material facts collectively demonstrate that Respondent engaged in unreasonable practices in handling the shipment at issue, deviating from the standards expected of a licensed Non-Vessel Operating Common Carrier (NVOCC) and freight forwarder.

5. Set forth the factual basis for your allegation that the shipment at issue involves co-loading with another NVOCC, and identify the other NVOCC. Provide copies of all documents that support your assertion.

Answer to Question 5: Respondent, in reporting the vehicles to U.S. Customs and Border Protection via the Electronic Export Information (EEI), indicated in Respondent's Exhibit G that they were filing as the Forwarding Agent. Furthermore, the booking confirmation provided by Respondent identifies Respondent as the Shipper, which aligns with the role of a Non-Vessel Operating Common Carrier (NVOCC) in its dealings with the shipping lines (Ex. B, CX_72).

Additionally, Respondent has not denied that they operate as both an NVOCC and a Freight Forwarder in their responses or subsequent filings.⁵ This lack of denial further supports the conclusion that Respondent acted in both capacities in the transactions at issue.

6. Set forth the factual basis for your claim that Respondent failed to comply with 46 C.F.R. § 520.11.

Answer to Question 6: Complainant acknowledges the initial misapplication of 46 C.F.R. § 520.11, which primarily addresses tariff publication requirements and co-loading arrangements among Non-Vessel-Operating Common Carriers (NVOCCs). This regulation pertains to scenarios where NVOCCs engage in co-loading agreements, necessitating specific tariff notations and bill of lading annotations to reflect such relationships.⁶

Given that the relationship between Respondent and CMA CGM involves a Vessel-Operating Common Carrier (VOCC) and an NVOCC, the provisions of 46 C.F.R. § 520.11 are not directly applicable. Instead, the regulatory framework governing such interactions is outlined in 46 C.F.R. Part 515, which details the licensing, financial responsibility, and general duties of Ocean Transportation Intermediaries, including NVOCCs.⁷

⁵ - In legal proceedings, a party's failure to deny specific allegations in their pleadings can be construed as an admission of those allegations. This principle is reflected in **Federal Rule of Civil Procedure 8(b)(6)**, which states:

"An allegation—other than one relating to the amount of damages—is admitted if a responsive pleading is required and the allegation is not denied."

This rule underscores that when a party does not explicitly deny an allegation in their responsive pleadings, it is considered admitted for the purposes of the litigation.

⁶ - 46 C.F.R. § 520.11 (2023).

⁷ - 46 C.F.R. §§ 515.1–515.44 (2023).

Specifically, 46 C.F.R. § 515.31(e) mandates that NVOCCs must exercise due diligence to ensure the accuracy of all documents and information related to their shipments. This includes correctly describing cargo, timely payment of freight charges, and proper issuance of bills of lading. Failure to adhere to these responsibilities can result in violations of the Shipping Act and corresponding FMC regulations.⁸

Therefore, while 46 C.F.R. § 520.11 may not govern the Respondent's conduct in our dispute, their obligations under 46 C.F.R. Part 515 remain pertinent. Complainant's claims should be evaluated concerning these applicable regulations to determine any non-compliance by the Respondent.

7. State whether or not your original booking request included the words “Yamaha Motorcycle” at the top as shown in Respondent’s response Exhibit A, and if so, explain its significance and the message it was intended to convey.

Answer to Question 7: Respondent’s response Exhibit A does not state the words “Yamaha Motorcycle.” It states the words “Yamaha Cruiser.”

Complainant only provided photos of the load and the consignee in the email, with the booking request written in Arabic. If Complainant intended to confirm the Yamaha as a motorcycle, such confirmation would have been included in the written description within the photo itself. Additionally, the title document clearly identifies that the Yamaha is not a motorcycle, further disproving Respondent’s claim.

Respondent appears to have added the words “Yamaha Motorcycle” in writing above the photo to deceive the Commission. Complainant is prepared to provide the Commission with access to the original email data to verify this assertion. Importantly, the email’s metadata and date cannot be altered, ensuring the integrity and authenticity of the evidence provided.

In legal proceedings, evidence must be relevant to be admissible. According to Federal Rule of Evidence 401, evidence is considered relevant if it has any tendency to make a fact more or less probable than it would be without the evidence, and that fact is of consequence in determining the action.⁹

Even if Respondent alleges that Complainant provided false information regarding the Yamaha, the evidence indicates that CMA CGM's decision to return the container was based on the misrepresentation of the Tundra. Respondent has not provided any evidence showing that the return was due to the Yamaha. This is substantiated by Ex, A, CX_44, which confirms that the return was attributed to the Tundra. Notably, this evidence was provided by Respondent, not Complainant. The absence of any supporting evidence from Respondent regarding the Yamaha underscores that the primary issue leading to the container's return was the incorrect description of the Tundra, not the Yamaha.

⁸ - 46 C.F.R. § 515.31(e) (2023).

⁹ - Fed. R. Evid. 401.

Therefore, any allegations concerning the Yamaha are irrelevant to the central issue of the container's return. Introducing such allegations would not make any fact of consequence more or less probable and should be excluded from consideration.¹⁰

8. State whether or not you sent motorcycle photos to Respondent on April 20, 2023, as shown in Respondent's response Exhibit I. If so, please explain why you sent photos of a motorcycle despite the fact that both the vessel title and dock receipt at Respondent's response Exhibits E and F show that the container contained a personal watercraft.

Answer to Question 8: Complainant sent the motorcycle photos on April 28, 2023, for a different load and a different container (Ex. A, CX_38). Respondent, without Complainant's knowledge, subsequently sent the same motorcycle photos to CMA CGM on May 4, 2023. The email correspondence between Respondent and CMA CGM does not include Complainant, indicating that Respondent used the motorcycle photos independently and without Complainant's authorization (Ex. A, CX_32 to CX_36).

Respondent fraudulently used those emails to create a false and misleading impression that Complainant collaborated to deceive CMA CGM. In reality, Complainant did not know the original bill of lading that CMA CGM provided to the freight forwarder, nor any involvement in Respondent's misrepresentations. This deliberate action by Respondent underscores their lack of transparency and attempts to shift blame onto Complainant.

Complainant further asserts that this issue is immaterial to the dispute, as the VIN of any motor vehicle can be readily verified through standard search tools. Any implication that Complainant would engage in such conduct not only lacks merit but also undermines the integrity and professionalism of Complainant. It was, in fact, Respondent who deliberately employed this tactic, effectively wagering on the success of their misrepresentation to secure additional fees from the low price quote with CMA CGM compared to Maersk and MSC.

9. Explain why you provided Respondent with the VIN number for a 2017 Toyota 4Runner in the text message attached as Exhibit J to Respondent's response despite the dock receipt showing that a 2005 Toyota Tundra was loaded on the container.

Answer to Question 9: The text message in question was an inquiry and an act of cooperation with Respondent. Before providing the VIN number, Complainant explicitly stated, "There must be a typo in the loading plans. Can we ship this to the destination since it's on the way, and I will request a VIN# update/correction for this 4Runner, please" (Ex. A, CX_42). Complainant subsequently sent the incorrect information to highlight the mistake to Respondent.

However, Respondent deliberately misrepresented this cooperative effort, attempting to deceive the Commission by portraying Complainant's actions as knowledge of and participation in Respondent's deceptive practices. This manipulation of the context demonstrates Respondent's intent to mislead and shifts blame unjustly onto Complainant.

¹⁰ - This approach aligns with the principles outlined in Federal Rule of Evidence 403, which allows for the exclusion of relevant evidence if its probative value is substantially outweighed by a danger of confusing the issues.

In legal proceedings, misrepresenting cooperative efforts or manipulating context to shift blame can be addressed under the doctrines of fraudulent misrepresentation and abuse of process. Fraudulent misrepresentation involves knowingly making false statements with the intent to deceive another party, leading to reliance on the false information and resulting harm.¹¹ Abuse of process pertains to the misuse of legal procedures for ulterior motives.¹²

10. State whether or not the breakdown of damages in your Renewed Motion for Summary Judgment sets forth the total amount of actual injury you claim. If not, please provide a breakdown of damages.

Answer to Question 10: Yes, the breakdown of damages in Complainant's Renewed Motion for Summary Judgment sets forth the total amount of actual injury claimed, which amounts to \$52,710.00. These damages were incurred as a direct result of Respondent's violations of the Shipping Act and represent actual injury under 46 U.S.C. § 41305(a).

To mitigate the demurrage costs, Complainant intervened to pay CMA CGM S.A. directly. Respondent's refusal to address the shipment issues caused Complainant to bear costs associated with original and return freight fees, mis-declaration fees, inspection fees, the value of the cargo, and hauling and loading costs. These expenses are detailed below:

Breakdown of Damages:

- Original Freight (Invoice #NAOB0316822): \$2,865.00 (Paid by Complainant: \$3,300.00)
- Late Payment for Original Freight (Invoice #NAOB0337335): \$75.00
- Return Freight (Invoice #NAOB0367804): \$4,310.52
- Mis-declaration Fee (Invoice #NAOB0347101): \$2,000.00
- Return Inspection Fees (Invoice #NAIB1399975): \$2,306.00

Cost of Vehicles:

- 2005 Toyota Tundra (VIN: 5TBKT42115S468135): \$9,900.00
- 2011 Kia Sorento (VIN: 5XYKT4A17BG175020): \$4,500.00
- 2012 Yamaha FX SHO (VIN: YAMA3067B212): \$7,500.00
- 2006 Lexus GX 470 (VIN: JTJBT20XX60123772): \$7,500.00

Additional Costs Incurred by Complainant:

- Loading Costs: \$800.00
- Towing Charges for Four Vehicles: \$1,800.00
- Loss of Profit (Calculated as 40% of the shipment value): \$12,000.00

Additionally, Complainant is entitled to prejudgment interest on these damages under 46 U.S.C. § 41305(a). The interest compensates for the time value of money lost due to Respondent's

¹¹ - *Roberts v. Saffell*, 760 N.W.2d 715, 719 (Mich. Ct. App. 2008) (outlining the elements of fraudulent misrepresentation, including the necessity of proving that the defendant knowingly made false representations with the intent to deceive); Restatement (Second) of Torts § 525 (1977), as cited in *Herman v. Sunshine Chem. Specialties, Inc.*, 133 N.J. 329, 334, 627 A.2d 1081, 1084 (1993).

¹² - *W. Page Keeton et al., Prosser and Keeton on the Law of Torts* § 121, at 898 (5th ed. 1984), as cited in *Pinsky v. Duncan*, 79 F.3d 306, 313 (2d Cir. 1996) (explaining the misuse of legal procedures for ulterior motives); *Board of Educ. of Farmingdale Union Free Sch. Dist. v. Farmingdale Classroom Teachers Ass'n, Inc.*, 343 N.E.2d 278, 283 (N.Y. 1975) (holding that abuse of process occurs when legal process is used for a purpose other than that for which it is designed).

violations. Using the statutory cap rate of 6% annually, the total interest due is calculated as follows:

Period of Interest Accrual: From the date of loss (May 1, 2023) to the date of judgment (assume December 1, 2024), which is 19 months or approximately 1.583 years.

Interest Calculation: $\$52,710.00 \times 6\% \times 1.583 = \$5,006.40$

Therefore, Complainant seeks a total of \$57,716.40, including \$52,710.00 in actual damages and \$5,006.40 in prejudgment interest. These costs, along with the interest, reflect the total injury sustained due to Respondent's failure to comply with the Shipping Act.

The total damages after adding the prejudgment interest:

- Total Damages: \$57,716.40

In the case of *Color Brands, LLC v. AAF Logistics, Inc.*, the FMC awarded prejudgment interest to the complainant, calculated based on the average interest rate applicable during the period of damage, in accordance with 46 C.F.R. § 502.253 - Interest in Reparations Proceedings. This finding is discussed on page 4 of the FMC's decision, supporting the inclusion of prejudgment interest in the total damages sought by Complainant. *Color Brands, LLC v. AAF Logistics, Inc.*, FMC Docket No. 1967(I), Initial Decision (Dec. 15, 2020).

11. What is the date of injury for each component of your damages claim? Set forth the factual basis for each date asserted.

Answer to Question 11: The date of injury for each component of Complainant's damages claim is based on when the financial harm or loss directly attributable to Respondent's actions occurred. Below is the breakdown with the factual basis for each date:

1. Original Freight Charges (Invoice #NAOB0316822):

- **Date of Injury:** April 30, 2023
- **Factual Basis:** Complainant paid the original freight charge, including Respondent's service fees, on this date based on Respondent's misrepresentation of the shipment details. This misrepresentation later led to the container being returned due to Respondent's errors. The total amount of the invoice was \$2,865.00, plus \$435.00 in service fees charged by Respondent. Payment of \$3,300.00 by Complainant is evidenced in (Ex. E, CX_87). Notably, Respondent did not assert any affirmative defense regarding this charge in their answer or any subsequent motions.

2. Late Payment Fee for Original Freight (Invoice #NAOB0337335):

- **Date of Injury:** May 15, 2023
- **Factual Basis:** Complainant incurred this fee after Respondent delayed payment to CMA CGM, requiring Complainant to cover the costs to prevent further penalties. The amount was \$75.00 (Ex. E, CX_86). Complainant paid this amount along with Invoice #NAOB0347101, which totaled \$2,000.00, making a combined payment of \$2,075.00 as evidenced in (Ex. J, CX_105). Notably, Respondent did not assert any affirmative defense regarding this charge in their answer or any subsequent motions.

3. Return Freight (Invoice #NAOB0367804):

- **Date of Injury:** May 20, 2023

- **Factual Basis:** The container was returned to Savannah, Georgia, on this date, incurring additional freight costs due to Respondent's failure to properly manage the shipment. The amount of Invoice #NAOB0367804 was \$4,310.52 (Ex. G, CX_93). Payment of \$4,310.52 by Complainant is evidenced in (Ex. H, CX_96 to CX_100). Notably, Respondent did not assert any affirmative defense regarding this charge in their answer or any subsequent motions.
- 4. **Mis-declaration Fee (Invoice #NAOB0347101):**
 - **Date of Injury:** May 25, 2023
 - **Factual Basis:** CMA CGM imposed this fee after identifying the misrepresentation of the cargo description, a result of Respondent's actions. The amount of Invoice #NAOB0347101 was \$2,000.00, as evidenced in (Ex. I, CX_102). Notably, Respondent did not assert any affirmative defense regarding this charge in their answer or any subsequent motions.
- 5. **Return Inspection Fees (Invoice #NAIB1399975):**
 - **Date of Injury:** June 1, 2023
 - **Factual Basis:** Inspection fees were charged when the returned container underwent mandatory inspection at the port due to Respondent's mismanagement. The amount of Invoice #NAIB1399975 was \$2,306.00. After Respondent ceased working on the container, Complainant intervened and paid CMA CGM this invoice along with the short payment of \$310.52, as evidenced in (Ex. K, CX_110). Notably, Respondent did not assert any affirmative defense regarding this charge in their answer or any subsequent motions.
- 6. **Cost of Vehicles (2005 Toyota Tundra, 2011 Kia Sorento, 2012 Yamaha FX SHO, 2006 Lexus GX 470):**
 - **Date of Injury:** May 20, 2023
 - **Factual Basis:** The value of the vehicles was lost when the container could not be properly cleared or shipped to the intended destination due to Respondent's failure to resolve the issues.
- 7. **Additional Costs (Loading Costs, Towing Charges for Four Vehicles):**
 - **Date of Injury:** May 15, 2023
 - **Factual Basis:** These costs were incurred during the preparation of the shipment, which ultimately failed due to Respondent's breaches.
- 8. **Loss of Profit (Calculated as 40% of Shipment Value):**
 - **Date of Injury:** May 20, 2023
 - **Factual Basis:** The loss of profit became calculable on the date the shipment failed to reach its intended destination, resulting in lost business opportunities for Complainant.

In support of this claim, the Federal Maritime Commission in *O.J. Commerce, LLC v. Hamburg Süd* recognized that a complainant is entitled to expectation damages when a respondent fails to fulfill contractual obligations. The FMC awarded damages to place the complainant in the position they would have been in had the contract been performed. This principle aligns with Complainant's claim for expectation damages in the present case.¹³

¹³ - *O.J. Commerce, LLC v. Hamburg Süd*, FMC Docket No. 21-11, Initial Decision (Apr. 15, 2022).

12. Explain why you are entitled to damages in the amount of \$3,300 for original freight charges (Invoice #NAOB0316822) given that the amount shown due on the invoice attached as Exhibit E to the complaint is \$2,865.

Answer to Question 12: Complainant is entitled to expectation damages because Respondent did not fulfill its obligations under the contract.¹⁴

The charge for the booking is \$3,300.00, as billed by Respondent. Respondent received a quote from CMA CGM for \$2,865.00 for the original freight charges, as shown in (Ex. E, CX_85) to the complaint. The difference of \$435.00 represents the service charge applied by Respondent, which was added to the CMA CGM quote and passed on to Complainant.

This breakdown clarifies that the total amount of \$3,300.00 includes both the original freight charges of \$2,865.00 and the \$435.00 service charge imposed by Respondent.¹⁵

13. Explain why you paid \$3,300 for original freight charges if the invoiced amount was only \$2,865. Provide copies of all documents that support your assertion.

Answer to Question 13: The charge for the booking is \$3,300.00, as billed by Respondent. Respondent received a quote from CMA CGM for \$2,865.00 for the original freight charges, as shown in (Ex. E, CX_85) to the complaint. The difference of \$435.00 represents the service charge applied by Respondent, which was added to the CMA CGM quote and passed on to Complainant.

This breakdown clarifies that the total amount of \$3,300.00 includes both the original freight charges of \$2,865.00 and the \$435.00 service charge imposed by Respondent.¹⁶

14. Explain how the \$3,300 checking deposit slip attached as Exhibit E to the complaint establishes your payment in that amount to Respondent on May 9, 2023.

Answer to Question 14: The \$3,300.00 checking deposit slip attached as Exhibit E to the complaint establishes Complainant's payment to Respondent on May 9, 2023, as it reflects the amount billed by Respondent for the booking. Respondent received a quote from CMA CGM for \$2,865.00 for the original freight charges, as evidenced in (Ex. E, CX_85). The remaining \$435.00 represents a service charge imposed by Respondent, which was added to the CMA CGM quote and passed on to Complainant.

This breakdown demonstrates that the total amount of \$3,300.00 paid by Complainant covers both the original freight charges of \$2,865.00 and Respondent's service fee of \$435.00.

¹⁴ - Expectation damages are designed to place the non-breaching party in the position they would have been in had the contract been fully performed. See *Robinson v. Harman*, (1848) 1 Ex 850, 154 Eng. Rep. 363 (Exch.) (stating that damages are meant to put the injured party in the same situation as if the contract had been performed).

¹⁵ - In *O.J. Commerce, LLC*, the Federal Maritime Commission recognized that a complainant is entitled to expectation damages when a respondent fails to fulfill contractual obligations. The FMC awarded damages to place the complainant in the position they would have been in had the contract been performed. This principle aligns with Complainant's claim for expectation damages in the present case.

¹⁶ - *Id.*

Moreover, Respondent has not denied receiving this payment in their answer or any subsequent motions, which constitutes an implied admission and further validates the transaction. This payment is supported by the deposit slip and invoice, establishing a clear connection to the services provided by Respondent.

15. Explain how the receipts attached as Exhibit H to the complaint purporting to show transfers to Mohamed Elboghday establish your payment to Respondent of returned freight charges in the amount of \$4,310.52.

Answer to Question 15: The receipts attached as Exhibit H to the complaint establish Complainant's payment of the returned freight charges in the amount of \$4,310.52 by showing transfers to Mohamed Elboghday, whose bank account is used by Respondent. It is noteworthy that Respondent did not deny in their answer or any subsequent motions that this account belongs to Respondent or that the payments were made for the purpose of settling the returned freight charges. This lack of denial supports the conclusion that the payments to Mohamed Elboghday were indeed made to satisfy the obligation to Respondent.¹⁷

16. Please state the factual basis for your damages claim for the cost of the four vehicles at issue in this proceeding. Provide copies of all documents that support your assertion.

Answer to Question 16: The factual basis for Complainant's damages claim for the cost of the four vehicles is supported by their respective purchase prices, which reflect the actual value of the vehicles lost as a result of the shipment issues in this proceeding. The detailed costs of the vehicles are as follows:

2005 Toyota Tundra (VIN: 5TBKT42115S468135): \$9,900.00

2011 Kia Sorento (VIN: 5XYKT4A17BG175020): \$4,500.00

2012 Yamaha FX SHO (VIN: YAMA3067B212): \$7,500.00

2006 Lexus GX 470 (VIN: JTJBT20XX60123772): \$7,500.00

These costs are substantiated by purchase receipts and valuation documents provided as (Ex. P, CX_124 to CX_127). These documents establish the fair market value of the vehicles and confirm the financial loss incurred by Complainant.

17. For each vehicle cost claim, please set forth the factual basis for the valuation asserted and submit evidence to support the value asserted.

¹⁷ . In legal proceedings, a party's failure to deny an allegation can be interpreted as an admission of that fact. This principle is recognized in various legal contexts, including those overseen by the Federal Maritime Commission (FMC). In *Revocation of License No. 016019N—Central Agency of Florida Inc.*, 31 S.R.R. 486 (FMC 2008), the FMC noted that when a party fails to contest allegations or evidence on a disputed issue, it is deemed to have accepted the opposing party's allegations and evidence as true. The Commission stated:

"An applicant who fails to meet its burden of contesting allegations or evidence upon a disputed issue is deemed to have accepted the opposing party's allegations and evidence as true."

This approach aligns with general legal principles, such as those outlined in *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312, 1318-19 (1st Cir. 1979), where the court held that a party's failure to respond to allegations can result in those allegations being deemed admitted.

Answer to Question 17: The basis for the valuation is the payment to the sellers of the vehicles. Complainant added the sales agreements evidence as (Ex. P, CX_124 to 127).

18. What evidence supports your claim for loading costs in the amount of \$800? Provide copies of all documents that support your assertion.

Answer to Question 18: The evidence supporting Complainant's claim for loading costs in the amount of \$800 includes the invoice and proof of payment to the warehouse for the loading services. These documents are attached as (Ex. S, CX_135 to 136).

19. What evidence supports your claim for towing charges in the amount of \$1,800? Provide copies of all documents that support your assertion.

Answer to Question 19: The evidence supporting Complainant's claim for towing charges in the amount of \$1,800 is detailed in (Ex. Q, CX_129 to CX_136), with one of these payments specifically evidenced in (Ex. R, CX_132 to CX_133). Other payments were made in cash.

These towing charges were incurred to transport the vehicles from Charlotte, North Carolina, to Savannah, Georgia—a distance of approximately 252 miles. Based on the industry-standard rate of \$1.00 to \$2.00 per mile for vehicle transport, the total charge for moving four vehicles aligns with the claimed amount of \$1,800.

20. What evidence supports your claim of lost profits in the amount of \$12,000? Provide copies of all documents that support your assertion.

Answer to Question 20: The Federal Maritime Commission (FMC) has recognized the recoverability of lost profits.¹⁸ The claim of lost profits in the amount of \$12,000 is supported by affidavits from two importers to Libya, ANAN ALSAMA and AJEEB OVERSEAS LLC, who have provided estimates of the lost profits (Ex. T, CX_138 to 139). Based on their experience in the industry from 2018 to 2024, both importers confirm that profit margins for vehicles exported to all Libyan cities have consistently ranged between 30% and 50% (Ex. T, CX_138 to 139). This approach is consistent with the principle recognized in *Lockheed Information Management Systems Co. v. Maximus, Inc.*¹⁹

¹⁸ - The Federal Maritime Commission (FMC) has recognized the recoverability of lost profits in cases where a respondent's actions have directly caused financial harm to the complainant. See *O.J. Commerce, LLC v. Hamburg Süd*, FMC Docket No. 21-11, Initial Decision (Apr. 15, 2022) (awarding damages to place the complainant in the position they would have been in had the contract been performed). Additionally, under general contract law principles, lost profits are recoverable when they are a direct and foreseeable result of the breach, and when the amount can be established with reasonable certainty. See *Hadley v. Baxendale*, 156 Eng. Rep. 145, 151 (Ex. Ch. 1854) (adopted widely in U.S. jurisprudence).

In addition to the previously mentioned case, the Federal Maritime Commission (FMC) has addressed the issue of lost profits in other proceedings. See *Flota Mercante Grancolombiana, S.A. v. Federal Maritime Comm'n*, 373 F.2d 674, 678 (D.C. Cir. 1967) (affirming the FMC's decision to award reparations, including lost profits, to a complainant adversely affected by a carrier's actions and upholding the FMC's authority to grant such reparations when supported by substantial evidence).

¹⁹ . *Lockheed Information Management Systems Co. v. Maximus, Inc.*, 259 Va. 92, 524 S.E.2d 420 (2000) (acknowledging that evidence from similar enterprises could be used to estimate lost profits, such as evidence of

21. Identify all detention and demurrage charges you paid related to the shipment at issue. Provide copies of all documents that support your assertion.

Answer to Question 21:Complainant did not pay any charges related to detention and demurrage.

22. Identify all evidence of out-of-pocket costs you incurred related to the shipment at issue. Provide copies of all documents that support your assertion.

Answer to Question 22: All the payments that Complainant did pay were listed and explained above within the other answers.

DATED: January 3, 2025,

Respectfully submitted,

USL AUTO EXPORTING INC.,
By: /s/ ANIS HOUSSEIN
ANIS HOUSSEIN
general.manager@uslautoexporting.com
84 Kensington Dr., PISCATAWAY,
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Tel.: (862) 338-0889
Vice President for COMPLAINANT
USL AUTO EXPORTING INC.

previous child support collection ventures conducted in other jurisdictions, which the court found sufficiently specific to allow a reasonable estimate of lost profits).

VERIFICATION

ANIS HOUSSEIN, the vice president of **USL AUTO EXPORTING INC.**, pursuant to 28 USC § 1746, hereby declares under penalty of perjury that he has read the foregoing Verified Complaint and that the facts stated therein to the best of his knowledge, information, and belief further declares that the foregoing is true and correct on information, belief, and upon information received from others.

USL AUTO EXPORTING INC.,

By: /s/ Anis Houssein

ANIS HOUSSEIN

general.manager@uslautoexporting.com

84 Kensington Dr.,

PISCATAWAY, New Jersey 08854

Telephone: (862) 338-0889

Vice President for Claimant USL AUTO EXPORTING INC.

day of January 3, 2025,

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on the 3rd day of January 2025, a true and correct copy of the foregoing Motion For Summary Judgment was served via electronic mail on:

EASY SHIPPING CORPORATION
(frafati@rafatilegal.com)

Anis Houssein

Anis Houssein
Vice President for COMPLAINANT
USL AUTO EXPORTING INC.,